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Through cuts and the 'mother of all gimmicks,' California lawmakers to lower deficit by $17B

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California lawmakers plan Thursday to approve a series of spending cuts and internal borrowing tricks designed to reduce the state budget deficit by about $17 billion. And it won't be enough.

Lawmakers know they must carve deeper before the June deadline to balance the 2024-25 budget. In January, Gov. Gavin Newsom estimated the shortfall would be about $38 billion. But the Legislative Analyst's Office, a nonpartisan office that provides fiscal advice to the Legislature, estimated in February that California actually faces a $73 billion deficit.

Newsom will announce his office's latest estimate next month when he unveils his revised budget plan. That projection will have the benefit of crucial data from April tax collections.

The action lawmakers plan to take Thursday will, in some ways, make things easier for Newsom. Last month, he postponed his State of the State address as Proposition 1, his mental health bond, hung in post-election limbo and his desire to strike an early budget deal with the Legislature remained elusive.

But after Proposition 1 eked out a win and lawmakers agreed to a deal that enacts many of the early cost-cutting and cost-delaying measures Newsom had been pushing for, he'll have a rosier story to tell Californians when he finally does give the address.

Assembly Member Jesse Gabriel, the Encino Democrat who leads the Assembly Budget Committee, said that passing the $17 billion agreement now ahead of the summer's budget deadlines will "provide us with flexibility as we consider the tougher choices that lay ahead."

The plan seeks to save about $760 million by cutting funding for vacant state jobs, while transferring several billion dollars from some funding sources — including one for clean energy projects — to fill shortfalls in other areas.

The deal also cuts half a billion dollars for school facility construction, $336 million from the state's welfare program, $300 million for a new immunology building at UCLA and about $200 million from a program to make watersheds more resilient to climate change.

The deal would delay $1 billion in spending on public transit and rail lines, $550 million in preschool and kindergarten facilities grants, and $235 million in bridge housing funds for people battling drug addiction and mental illness.

Although the Newsom administration has characterized the cuts in the agreement as minimal, some lawmakers have expressed concern they will result in harmful reductions to important services. Sen. Lola Smallwood-Cuevas, D-Los Angeles, said she worries that some of the funding cuts could affect reentry services for people released from prison.

"I just would hope that the criteria (for what money is paused or cut) is looking at issues of public safety and that those are being prioritized," she said Wednesday during a committee hearing on the legislation to enact the early budget deal.

Republicans say the deal relies too much on accounting tricks and doesn't adequately rein in state spending to address the deficit. Sen. Roger Niello, the top Republican on the Senate Budget and Fiscal Review Committee, pointed to an element of the deal that would reduce the shortfall by $1.6 billion simply by accounting for state

payroll a day later, pushing it into the next fiscal year.

"In the interest of transparency, or perhaps a bit of comic relief, I think it's important at this public hearing to point out what I like to call the mother of all gimmicks," the Fair Oaks (Sacramento County) Republican said. "It is absolutely no savings whatsoever with regard to a cash perspective. It is only a budget gimmick that recognizes $1.6 billion in savings by delaying recognition of a payment by 24 hours."

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